



*CONSULTING & STRATEGY CLUB
PRESENTS*

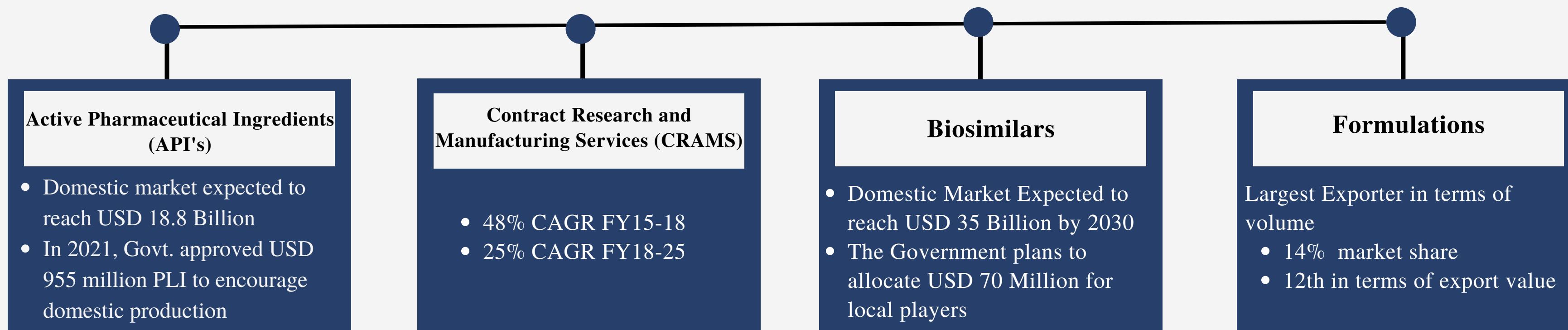
PHARMACEUTICAL INDUSTRY REPORT



MARKET SIZE

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| <ul style="list-style-type: none"> • India's Pharmaceutical production : <ul style="list-style-type: none"> ◦ Volume: Global Rank 3 ◦ Value: Global Rank 14 • 1.72% Contribution to India's GDP | <ul style="list-style-type: none"> • Indian Pharma Industry Market Size: <ul style="list-style-type: none"> ◦ 2021: USD 42 Billion ◦ Estimate 2024: \$65 Billion • Network of 3000 Drug Companies, 10,500 Manufacturing Units | <ul style="list-style-type: none"> • Largest Supplier of Generic Medicine, contributing to 20% of global supply by volume. • Supplying ~60% of global vaccination demand | <ul style="list-style-type: none"> • Export Market Size: <ul style="list-style-type: none"> ◦ FY 21: USD 24.44 billion ◦ Apr'21- Feb'22 : USD 22.2 billion. • 12th Largest Exporter of medical Goods • 6.6% contribution to total merchandise exports | <ul style="list-style-type: none"> • Ayurveda Market: <ul style="list-style-type: none"> ◦ Market Size 2018: USD 4.4 Billion ◦ Expected Increase in CAGR BY 2025: 16% |
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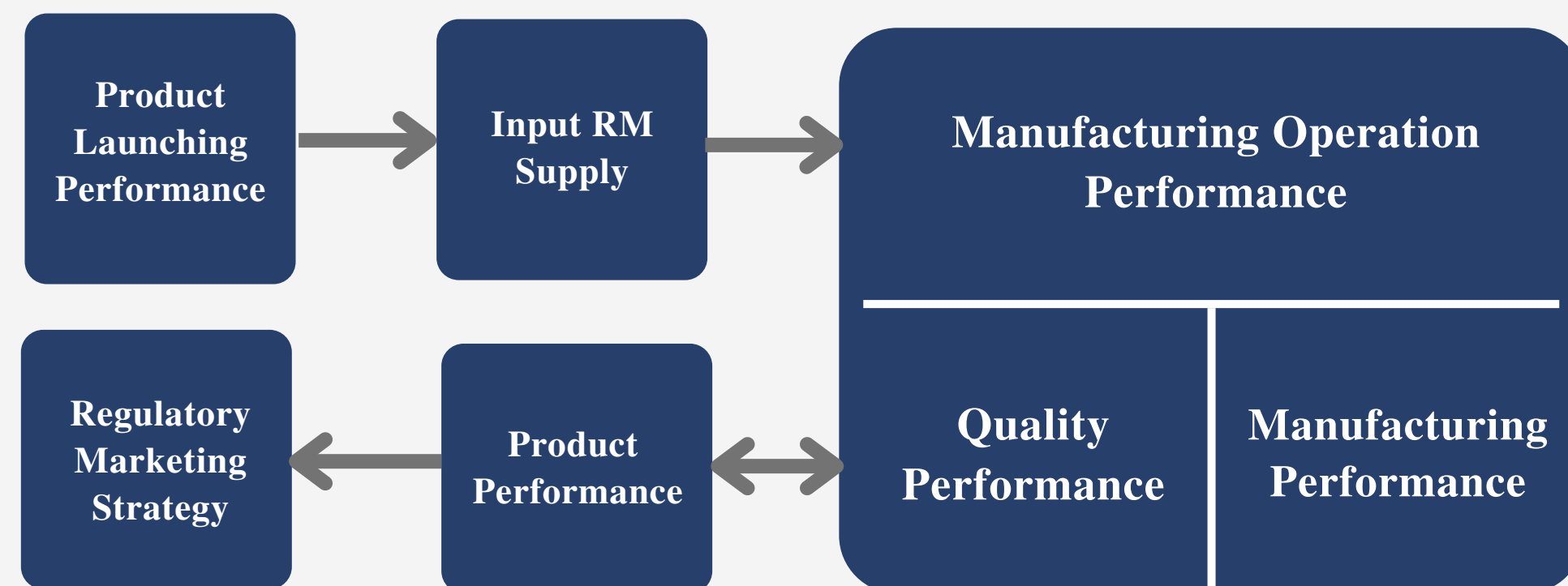
MARKET SEGMENTS



KEY PERFORMANCE INDICATORS

- **R&D cost on drug development**
- **Health and Safety KPIs**
- **Non-Prescription Sales as a Percentage of Total Sales**
- **Average Prescriptions Filled per Day**
- **Average Revenue per Customer**
- **Lead, Takt, and Cycle Time**
- **Inventory Turnover**

PHARMACEUTICAL INDUSTRY PERFORMANCE



ADVANTAGE INDIA

Cost Efficiency

- Low cost of production and R&D boosts efficiency of Indian pharma companies, leading to competitive exports.
- Indian pharma and drugs exports reached 5.78 billion dollars between April 2021-June 2021

Economic Drivers

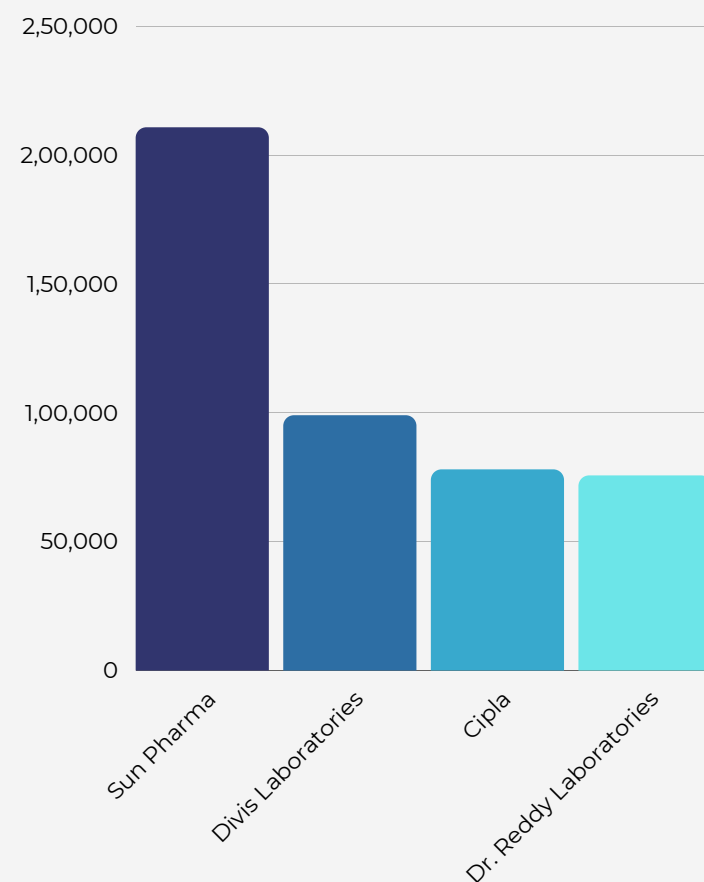
- High economic growth along with increasing penetration of health insurance to push expenditure on healthcare and medicine in India.

Policy Support

- In June 2021, Finance Minister Ms. Nirmala Sitharaman announced an additional outlay of Rs. 197,000 crore (US\$ 26,578.3 million) to be utilised over five years for the pharmaceutical PLI scheme in 13 key sectors.

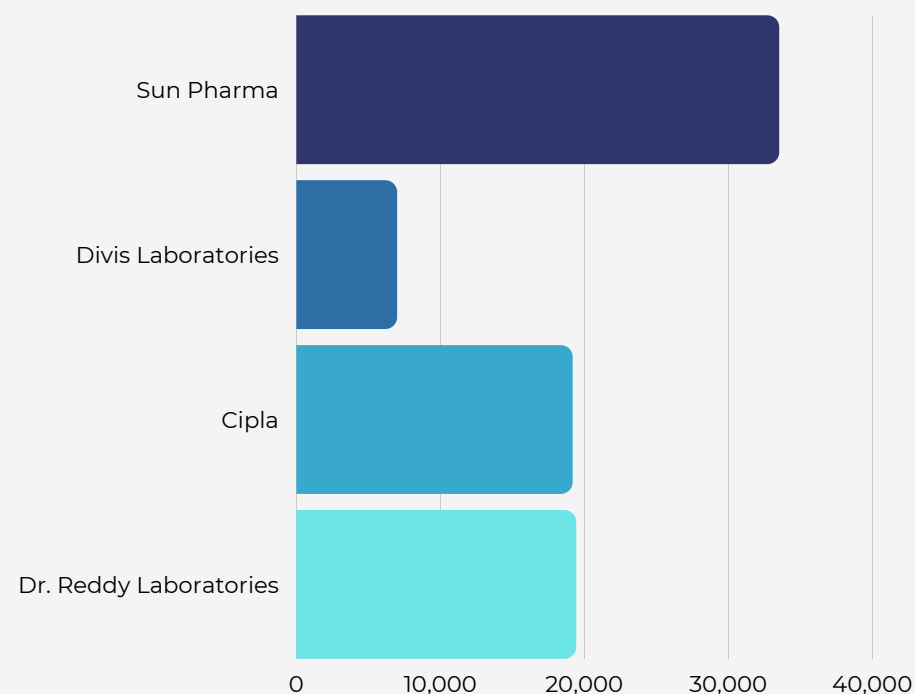
Investments

- The FDI inflows in the Indian drugs and pharmaceuticals sector reached US\$ 1.206 billion between April-December 2021.



Market Cap Distribution of
Key
Players in the Indian Market
(INR Crores)

FY21 Sales of Key
Players in
India
(INR Crores)



- Compound Annual Growth: 3-5%
- US FDA approval for general mesalamine for Pentasa Generic Drugs accounting a total of \$ 213 mn in USA in sales
- Major Depressive Disorder (MDD) affecting 35million people in India is to be catered by Sun Pharma by introduction of a variety of Vortioxetine in India



- Overshadowing previous goal in Q1 of FY22
- Acquisition of Nutritional Supplement Brand EnduraMass
- Got additional stake of 22.22% in digital tech company GoAptiv at INR 25.90 crores



- Increasing outsourcing capacity by targeting 15-16% growth for FY22
- Expecting to increase capacity through Kakinada plant which might be operational soon
- Working on Anti-covid19 oral drug Molnupiravir competing against Pfizer's Paxlovid.



- Expected growth of 11% in FY22.
- Horizon 2 strategy to escalate operations in disease management, nutraceuticals, biologics and cell and gene therapy, expected growth 27% by FY2027
- Planning to inject additional funds in R&D for future products

The COVID-19 pandemic did not cause the world's pharmaceutical supply systems to collapse, but it did highlight significant flaws in pharmaceutical logistics.

Issues of Supply Chain In India

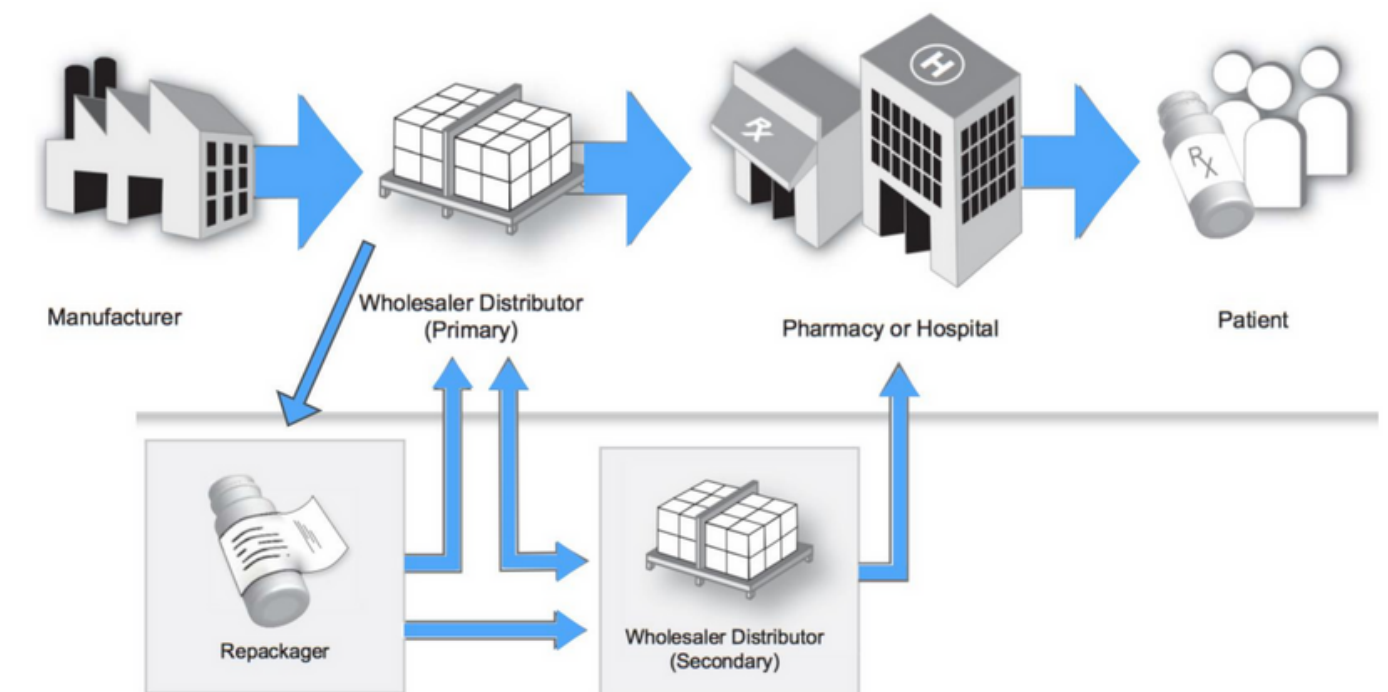
- The largest issue in the Indian supply chain is the “**cold chain**” which is to keep the temperature within the typical **2°C to 8°C** range for pharmaceuticals during the delivery cycle.
- High-tech equipment is needed for pharmaceutical cold storage to accommodate the needs of various medications.

Future Of Cold Storage Supply Chain Management In India

- With a predicted **CAGR** of **17.9%** from **2019 to 2026**, It will grow to **\$585,105.6 million** by **2026**. The national cold chain sector is anticipated to increase at a **CAGR** of more than **20%** by **2025** in the context of this transformation.
- Quality and product sensitivity are increasingly and heavily prioritized by pharmaceutical makers.
- Cold chain logistics can facilitate the production of more sophisticated biologically based medications that must be carried at a specified temperature.
- Temperature-controlled pharmaceutical and medical device shipping and delivery are expanding significantly.
- The pharmaceutical industry's entire cold supply chain and logistics are becoming more strategic and dependable.

Usage Of Tech Across Supply Chain

Smart contracts provide integrity, traceability and transparency



Planning and predicting demand are two crucial tasks in supply chain optimization. One may estimate demand and prepare for shipment consolidation based on specific transit infrastructure requirements, geography, and urgency by combining Big data, data analytics, blockchain, and AI, this increases the efficiency, visibility, and effectiveness of the supply chain network in pharmaceutical industry.

Strategies for Future Growth

Government Initiatives & Collaborations.

- Financial allocation of Rs. 500 crore (US\$ 665.5 million) for FY 21–22 to FY 25–26 was announced in March 2022 under Strengthening of Pharmaceuticals Industry (SPI) plan.
- Cipla, Dr. Reddy's, Emcure, Sun Pharma, and Torrent Pharma announced a collaboration for the clinical trial of oral drug "Molnupiravir" for the treatment of Covid-19 .
- The Drug Controller General of India (DCGI) has authorized the first, Receptor Binding Domain (RBD) protein subunit vaccine, CORBEVAX™, created by Biological E Limited (EUA) .

Expected CAGR 37%

Mission Statements for Future Growth

• **Becoming 'The Pharmacy of the World'**

India, which supplies 20 percent of the total global production of generic medications , is world's largest producer.

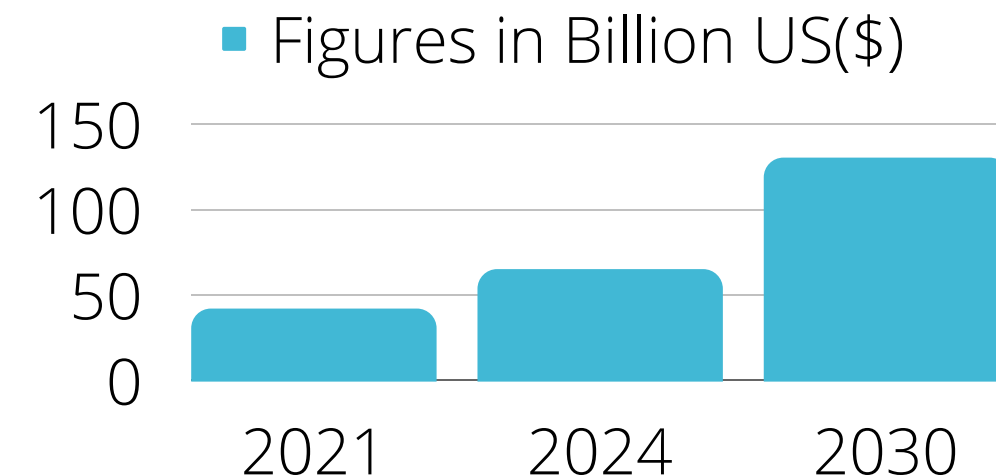
• **Delivering 'Brand India'**

As the size of the Indian medicines sector increases - Patented goods, consumer healthcare, biologics, vaccinations, public health are opportunities of a total of USD 5 billion as a whole.

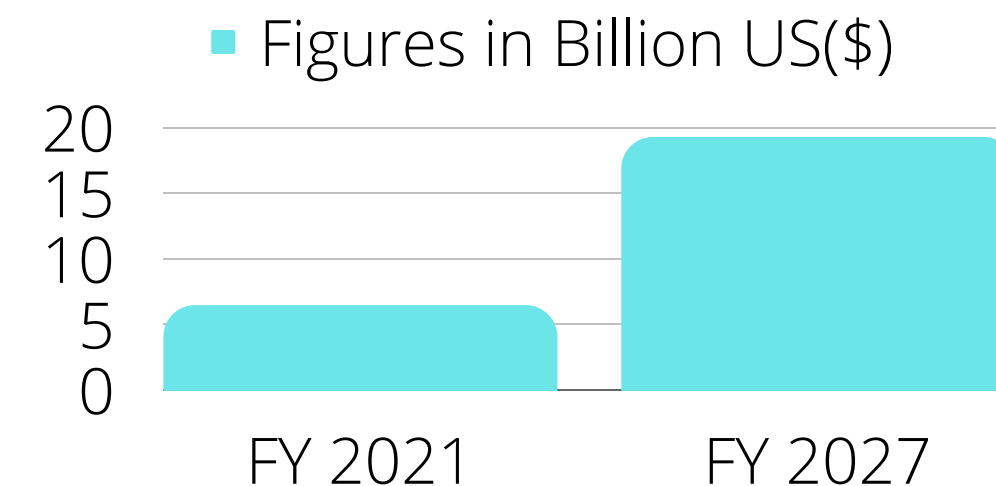
• **Digitization in Medicine**

"Make and Discover in India" will increase the R&D and simultaneously the exports of medicines which will be accelerated by use of AI, IoT and analytics to access life-saving drugs.

Indian Pharma Market



Ayurveda In India



Major Players

- Dabur
- Emami Care
- Baidyanath

Market Split

- 1.Products: 74%
- 2.Services: 26%



THANK YOU

All the best!

For suggestions, queries and feedback, write to
us at consult-strategy@sibmpune.edu.in

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